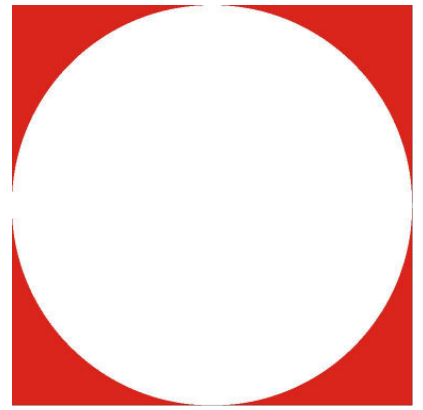


Vacancy to Value



A feasibility study proposal for the Toronto Transit Commission
Prepared by **Owen Palmer**, Industrial Designer

The station today

Ridership and customer satisfaction are under pressure. Riders consistently rank safety among their top concerns, and the physical condition of stations reinforces that unease.

Decommissioned ticket booths, former payphone alcoves, and vacant retail frontages sit dark across the network. Under CPTED principles, these unoccupied spaces attract the very conditions riders are concerned about: they become sites for antisocial behaviour, accumulate neglect, and erode the sense that the system is maintained and cared for.

To address revenue pressures, the TTC has expanded advertising density across stations. Advertising generates needed income, but it is subtractive from the rider's perspective: it extracts attention without returning value. It does not make the station cleaner, safer, or more useful. At current saturation levels, it risks compounding the perception that stations exist to generate revenue from riders rather than to serve them.

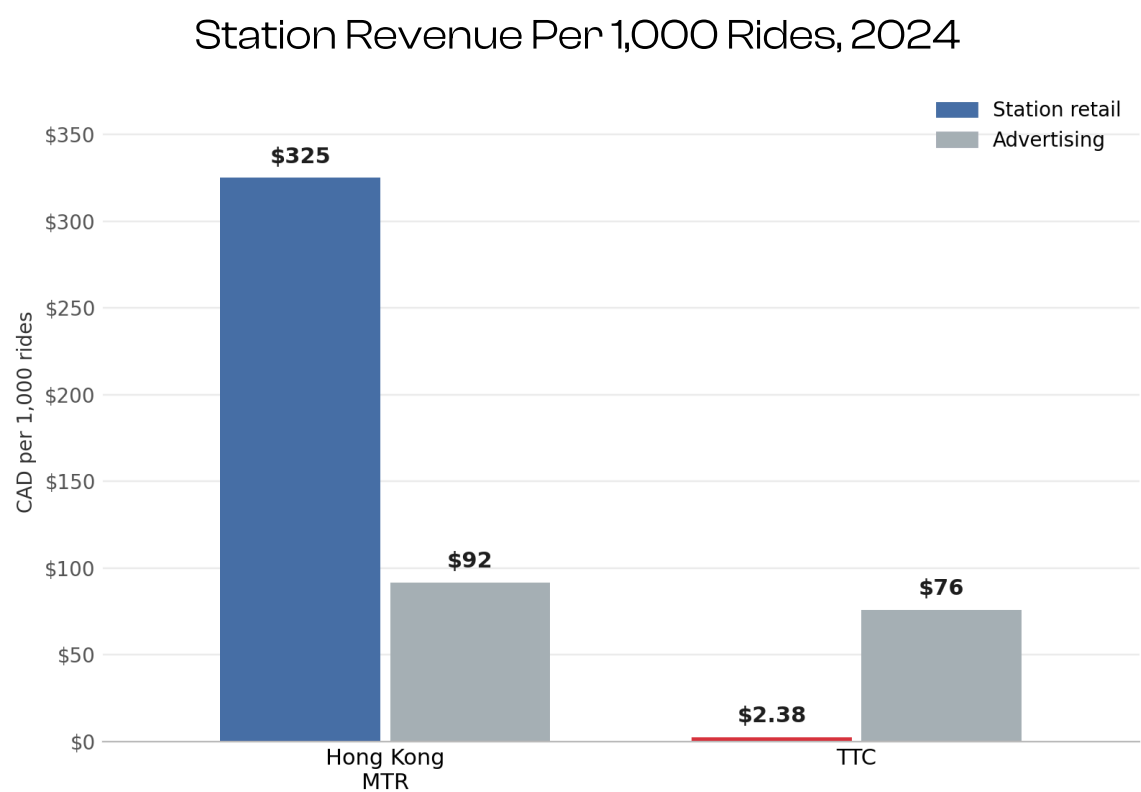


The proposition

What if the same spaces that are currently contributing to the problem could be part of the solution? Activating dormant station footprints with low-cost, rider-facing amenities addresses multiple challenges simultaneously: it generates non-fare revenue, improves customer satisfaction, drives ridership through added convenience, and creates the active occupancy that is the most effective deterrent to unsafe conditions. **One intervention, four returns.**

Observations

The TTC's station retail program earned a little over \$1M in 2024 across 420M rides, about a quarter of a cent per ride. Per ride, the TTC's advertising revenue is already close to Hong Kong's MTR. Its station retail revenue is more than 100 times lower.



CAD, HKD converted at the 2024 Bank of Canada average rate. TTC retail is a minimum (reported as over \$1M).
Sources: MTR 2024 Annual Results; TTC Non-Fare Revenue Strategic Review (2025); TTC ridership, 2024 (420M).

Even closing a fraction of the gap between the TTC and its global peers represents a meaningful revenue line. More importantly, the systems that outperform do not do it through advertising volume. They do it through active occupancy of station space.



Utility Retail Within Fare Paid Zones

Rather than pursuing more visual advertising density, which is already approaching saturation in flagship stations, I propose exploring a different model built on three principles

Active Occupancy as Safety Infrastructure. Under CPTED (Crime Prevention Through Environmental Design) principles, bright, functioning, occupied service points deter anti-social activity more effectively than passive surveillance. This directly contributes to Pillar 6 of the 5-Year Plan and one of the main issues the TTC is currently facing, Safety.

Reciprocal Value for Riders. Amenities offered at accessible price points inside the fare-paid zone increase the perceived value of a PRESTO tap. The revenue case is not primarily the sale itself. It is to inspire a mode-shift and ridership loyalty, especially relevant given the TTC's current ridership demographics.

TTC-Operated Rather Than Leased. Owning the service layer rather than leasing to franchisees captures margin that intermediaries currently extract, gives the TTC control over quality and pricing, and creates the flexibility to pass savings back to riders as a loyalty mechanism.

Specific product formats, pricing, and operational details are the goals of this feasibility study, not its inputs. Keeping these open at the proposal stage is purposeful.



Relevant Precedents

There are a handful of examples that show the scope of this opportunity. Most are abroad, but one program in Ontario is already testing a similar concept.

GO Transit, Cup2Go (GTA, 2025 to present). Bean-to-cup units at Port Credit and Bronte GO stations and the Yorkdale GO Bus Terminal. A precedent for lightweight, high-traffic retail where a full café is not viable, and the most obvious Canadian benchmark for a low-cost premium vending model.

Hong Kong MTR and Singapore SMRT. Global leaders in active occupancy. They have few dead zones because they deploy modular, automated retail even in small alcoves, keeping stations occupied while generating significant retail revenue. MTR station retail alone earned about HK\$3.6 billion in 2024.

SNCF (France) and Short Édition. Free short-story dispensers in stations. Generates no direct revenue but improves rider satisfaction and the station as a place, not just a transit point. This is a great example of how some activations can pay back in customer experience and media exposure not just cash.

Examining low-occupancy retail spaces across North American metro systems (including the TTC) reveals how underutilized areas can negatively impact the overall station environment.



Proposal

This project is formatted mainly as a research and feasibility study with the hope of developing a feasible prototype for the identified spaces.

Spatial Audit

A systematic inventory of underutilized footprints across the subway network, ideally mapped against station foot-traffic data where available.

Deliverable: a categorized shortlist of pilot-ready locations with documentation (dimensions, sightlines, services, accessibility considerations) sufficient to brief a design or operations team.

Benchmarking and Options Analysis

A detailed comparison of station retail revenue models, with particular attention to owned-and-operated versus leased models, using GO Transit's Cup2Go as a Canadian peer benchmark.

Deliverable: a decision matrix, similar to the ROI-versus-effort quadrant on page 10 of the Non-Fare Review, but pointed specifically to in-station reactivation.

Low-Fidelity Physical Prototype

A full-scale mockup of one candidate module to test ergonomics, user experience, and visual integration in situ.



Engagement Model

I am proposing a paid, fixed-term independent contractor engagement focused on the three phases above, with a clearly defined deliverable and review point at the end of each phase. The engagement would be structured so the TTC can pause or conclude the work after any phase if value is not being returned.

I intend this model to be complementary to, not duplicative of, the non-fare revenue capacity within Innovation and Strategic Projects. The intent is specialized, time-boxed design research that supports in-house strategic work rather than replacing it.

What I Would Need from the TTC

Station access for structured site visits to candidate locations, coordinated through an appropriate staff contact.

Foot-traffic data at station level (APC, fare-gate, or equivalent), shared in whatever form is appropriate, to inform location ranking.

A designated point of contact within Innovation and Strategic Projects or an adjacent group to review interim findings.

Any existing internal analysis on booth and alcove reuse so this work builds on it rather than duplicating it.

Specific scope, timeline, fee structure, and deliverable format would be finalized in discussion.

